

to compensate creditors for the fact that they have to wait several years to be fully paid.

Before you make the decision to file for bankruptcy, you should know which debts you may be able to walk away from and which you'll still be responsible for. Debts that can't be discharged or forgiven include:

- Child support and alimony
- Debts for personal injury or death caused by drunk driving
- Most student loans
- Traffic tickets and other fines or penalties imposed for breaking the law
- Certain types of taxes owed
- Debts you forget to list in your bankruptcy papers



In 2005 Congress drastically changed the bankruptcy system. The Bankruptcy Abuse Prevention and Consumer Protection Act of 2005 passed, which made it more difficult for individuals to seek shelter in bankruptcy. Among other changes, it's harder to qualify for [Chapter 7](#), and you have to attend financial counseling sessions.

Eligibility for [Chapter 13](#)

Because repayment of some of your debts is the basis for this type of bankruptcy, you have to have regular income in order to be eligible. Regular income can include social security benefits, child care or alimony, and rental income, and, of course, employment or self-employment wages. You also have to have enough disposable income after your basic needs such as housing, utilities, and food to use for debt repayment.